SONARGAON UNIVERSITY (SU)

Department: Business Administration
Program: BBA
Mid Semester Examination, Summer- 2025
Section: BBA0225-Daisy (32A2)
Course Code: BA 2104
Course Title: Principles of Finance
Name of the Course Teacher: Md Ashraf Ali
Set- A

Time: 1 hour 30 minutes **Full Marks: 30**

Instruction: (i) Assume any reasonable value for missing data.
(ii) Marks in the right margin indicate marks of the question.

Answer any three questions out of four questions. All questions are of equal value.

1. Define finance and discuss its major functions with suitable examples. 10 (CLO 1, PLO 1)

2. a Emma is evaluating two options for investing in a retirement plan that promises a fixed return. She wants to determine which option will yield a higher future value after 12 years: 04 (CLO 2, PLO 3)
   (i) Option A: Invest $8,000 now in a retirement plan that offers a 6% annual return for the next 12 years.
   (ii) Option B: Wait and invest $10,000 after 6 years (starting in the 7th year) in the same plan, which will then earn a 6% annual return for the remaining 6 years (years 7–12).

   Emma seeks to find out which option will result in a greater future value at the end of 12 years.

   b Sophia is preparing to save for a future home purchase she intends to make in 12 years. She estimates that she will need $120,000 by the end of that period. To reach this goal, she plans to make equal yearly contributions to an investment account that earns 7% interest annually. Sophia wants to find out how much she should deposit at the end of each year to accumulate $120,000 by the end of 12 years. 06 (CLO 2, PLO 3)

3. Daisy Investments is evaluating two stocks, A and B, for potential inclusion in their portfolio. They are considering factors like expected return and risk to make a decision. To do this, they are analyzing the historical returns of both stocks over the past six years. 10 (CLO3, PLO2)

Year	Stock A Return (%)	Stock B Return (%)
1	12%	16%
2	11%	7%
3	10%	13%
4	15%	17%
5	7%	6%
6	13%	7%

Daisy Investments has a risk tolerance that allows for moderate risk, but they want to ensure that the stock they choose offers the highest return-to-risk ratio. Evaluate which stock is the better option based on the expected return and risk (measured by standard deviation).

4. Discuss the similarities and differences between primary and secondary markets by focusing on their key participants, roles, and influence on corporate funding. 10 (CLO 2, PLO 3)